

POTLATCHDELTIC CORP PCH S

November 01, 2023 - 5:18pm EST
by

Rtg123

2023 2024

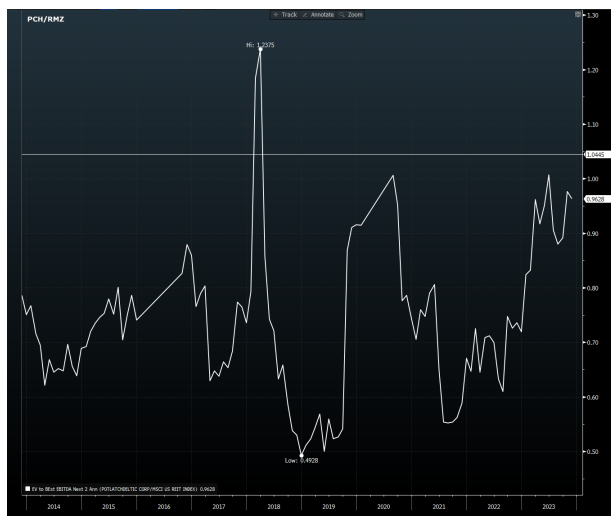
Price:	42.11	EPS	0	0
Shares Out. (in M):	80	P/E	0	0
Market Cap (in \$M):	3,353	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0
Borrow Cost:	General Collateral			

Description

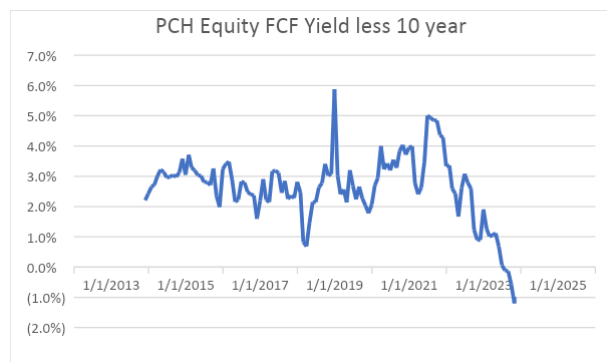
This pitch is pretty simple. We believe REITs generally have been very slow to price in the new interest rate investment. There was some discussion of this on the BREIT thread. However, plot the cap rate vs 10 year across effectively REIT outside of office/hotels and you will see the stocks have never been this expensive vs the 10 year. It is in this spirit we want to flag one of the most overvalued sectors in real estate with what we believe is a highly lazy investor base: timber reits. We are short PCH and WY.

As a result of structural problems in the US north and Canada, timber reits such as Potlach have seen a structural decline in their timberland volumes. PF for their recent acquisition of Catchmark, Potlatch has seen its Timberland segment volumes go from 7.7mm tons in 2018 to 7.6mm today (ie a 2% decline). With the recent rise in interest rates, there is limited reason to suspect much of an improvement in volumes from here.

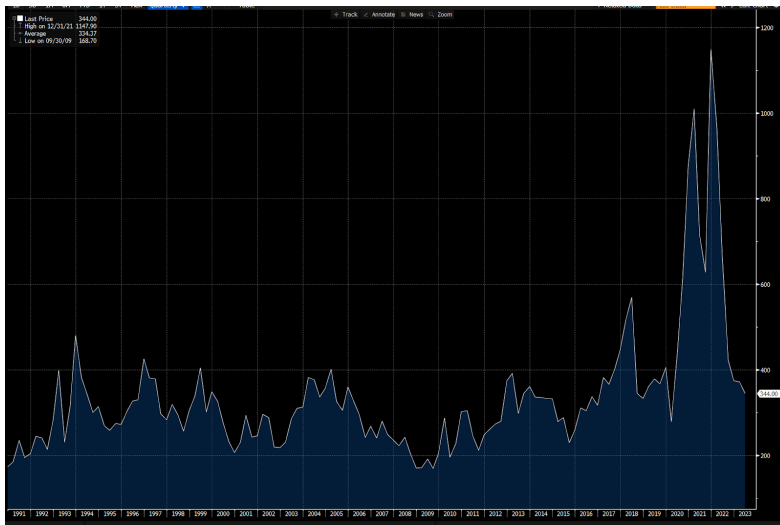
Additionally, the Company remains highly expensive. If you compare the fwd EV/EBITDA multiple of PCH vs the RMZ, you see it has seldom been more expensive.



Similarly, rel to the 10 year, PCH equity has never been more expensive based on consensus 1 year forward numbers.



Over the last few decades, you can see lumber prices seldom spike much above 400/mbf. Yes there are spikes. However, today with lumber in the high 400s, PCH acknowledged on its own earnings call it hasn't heard of any mill curtailments. We believe it is totally reasonable to underwrite something between 400-450mbf lumber prices over the long run.



At 400-450/mbf lumber prices, that implies PCH equity today is trading at between a 3% and 4% yield. Again, this is a no-growth biz over the long haul. We believe this should be an 8%+ yielding business in this rate back drop. Thus we see ~50% downside from current prices in PCH equity. Note we see similar downside to WY.

PCH Valuation				
LT Lumber Px	\$350	\$400	\$450	\$500
Lumber Px vs 2019	(\$21)	\$29	\$79	\$129
N. Timber '19 Log Shipments	1,516	1,516	1,516	1,516
N. Timber Log Px Impact	(4)	\$6	\$16	\$26
% Lumber Px Change	20.0%	20.0%	20.0%	20.0%
N. Timber Revenue Impact	(\$6)	\$9	\$24	\$39
N. Timber '19 Log Shipments	1,856	1,856	1,856	1,856
Change in Logs	(340)	(340)	(340)	(340)
Shipment Impact	(\$29)	(\$34)	(\$39)	(\$44)
Wood Product Shipments	1,069	1,069	1,069	1,069
Lumber Px Impact	(21)	29	79	129
Wood Product Impact	(\$22)	\$31	\$85	\$138
Total Revenue Px Impact	(\$57)	\$6	\$69	\$133
Incremental Margin	90.0%	90.0%	90.0%	90.0%
EBITDA Px Impact	(\$52)	\$5	\$63	\$120
2019 PF Revenue	\$930	\$930	\$930	\$930
(-) Revenue Impact	(57)	6	69	133
LT PCH Revenue	\$872	\$936	\$999	\$1,062
2019 PF EBITDA	\$236	\$236	\$236	\$236
(-) EBITDA Impact	(52)	5	63	120
(-) Cost Inflation	(30)	(30)	(30)	(30)
LT PCH EBITDA	\$154	\$211	\$268	\$325
% Margin	17.7%	22.6%	26.9%	30.6%
PCH Share Px	\$42	\$42	\$42	\$42
Fully Loaded Diluted Shares	80	80	80	80
Market Cap	\$3,386	\$3,386	\$3,386	\$3,386
(+) PCH Net Debt	723	723	723	723
TEV	\$4,110	\$4,110	\$4,110	\$4,110
EV/EBITDA	26.7x	19.5x	15.3x	12.6x
PF CAFD	\$77	\$106	\$134	\$163
% Equity	2.3%	3.1%	4.0%	4.8%
EBITDA	\$154	\$211	\$268	\$325
Multiple	10.0x	10.0x	10.0x	10.0x
TEV	\$1,541	\$2,112	\$2,683	\$3,254
(-) Net Debt	(723)	(723)	(723)	(723)
Equity Value	\$818	\$1,389	\$1,960	\$2,531
/FDSO	80	80	80	80
Px Target	\$10	\$17	\$24	\$31
% Downside	(75.8%)	(59.0%)	(42.1%)	(25.3%)

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I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Continue derating. Nominal FCF/dividends vs high rates

Messages

Subject Timberland values
Entry 11/02/2023 06:00 AM
Member grizzlybear

I think this write up misses a key point that vast majority of the NAV for these reits is in the timberland, and private market values have been rising due to general land scarcity as well as the emerging carbon credit opportunity.

I haven't run the math on pch recently but my guess is the valuation implies zero or negative value for their lumber operations.

Subject Re: Timberland values
Entry 11/02/2023 07:24 AM
Member Rtg123

I value stocks on cash flow and not some hazy NAV value.

Subject Re: Re: Timberland values
Entry 11/02/2023 08:00 AM
Member grizzlybear

It isn't that hazy when you have real bidders and transactions in the private market at huge premiums to what is implied by the share price.

As an example you may have seen yesterday after the market close that RYN, one of the other timber reits, announced it is selling \$1b of timber assets to arb the difference in valuation between its share price and the value of its stock.

Subject Re: Re: Re: Timberland values
Entry 11/02/2023 08:49 AM
Member Rtg123

RYN announced a \$1bn sale program. We'll see what the results are. Cash flows don't lie. If there was a great compounding NAV value that timberlands should trade on, why was PCH at \$40 (basically same price as today) in the early 90s! I thought we had moved past valuing things outside of on cash flow.

However, putting RYN aside here is commentary from PCH/WY. PCH doesn't seem very positive on transactions happening and WY just said they are a net buyer.

PCH

A - Eric J. Cremers {BIO 4928761 <GO>}

Yeah, so the Timberland M&A market, it's relatively quiet right now. We suspect sellers are holding off with their properties, you know, perhaps waiting for lumber prices to improve or interest rates to come down or carbon deals to become more mainstream. There's probably a host of factors there. We still want to grow our timberland footprint through M&A, but we're only going to do it if we think we can do it in a shareholder-friendly, value-creating sort of way. Basically buying timber with IRRs that are above our cost of capital.

And given how hard and fast our cost of capital has run up, it is very hard for us to find deals that are going to create that value. So our opportunity, Mark, is to find opportunities that are off the beaten path, that are not being broadly auctioned. And you know we've shown that we can do that. We did that with (inaudible), if you recall, we did that a couple of years ago. And so, we might be looking at things like that, now.

WY

A - David M. Wold {BIO 21067389 <GO>}

Sure, Mark. Yeah, this is Davy. We're always looking at ways to ensure we're maximizing shareholder value and how we generate cash and allocate that capital. Like I said earlier, we're fortunate to have a number of levers there, but really if I take each of those components separately, we've been very active in the market repurchasing shares, having done \$733 million over the last couple of years, so we certainly view that as an attractive opportunity for us to deploy capital.

Then on the selling of Timberlands, our view is that the value of Timberlands is only going up over time, and recent transactions certainly demonstrate, we're not the only one with that viewpoint, and so that's why we've got that target to acquire \$1 billion at Timberlands over the next several years, and ultimately why we expect to be a net buyer of Timberlands over time. But of course, we haven't been afraid to make adjustments to our portfolio in the past. The real estate program is a great example on how we monetize properties with a better use to generate capital that we can deploy for other purposes. So as of now, given our strong balance sheet position and the views that we have about the value of Timberlands over time, I'm not sure that we're looking to divest significant amounts of Timberland.

Subject	Re: Re: Re: Re: Timberland values
Entry	11/02/2023 09:10 AM
Member	grizzlybear

As you state the stocks have gone no where for a long time while at the same time private market values are up materially, and 15 to 25% in just the last year despite the rising interest rates. Note you do need to add back all of the divs and special divs to be intellectually honest on the performance.

Subject	Re: Re: Re: Re: Re: Timberland values
Entry	11/02/2023 09:13 AM

Member	Rtg123
So what do you think fair value is for timberland?	
Subject	Author Exit Recommendation
Entry	02/04/2026 03:30 PM
Member	Rtg123
The author has recommended exiting the position	
Subject	Re: Author Exit Recommendation
Entry	02/04/2026 03:30 PM
Member	Rtg123
We actually recently just turned bullish sector. Lumber prices bottomed and RYN has never been this cheap before. Think its a great long oppty.	